Canada’s Productivity Rebound: A Turning Point or a Better Quarter?

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By Marcus Williams | October 22, 2026



Editorial illustration: Canada’s productive economy, trade infrastructure and industrial capacity.

Canada’s productivity numbers improved in the second quarter of 2026. Whether that improvement signals a lasting change in the economy’s performance is a more difficult question.

Business-sector labour productivity increased 1.0% quarter over quarter, its strongest quarterly gain since the second quarter of 2020. Productivity was 1.2% higher than a year earlier, and increased 1.1% over 2025 as a whole. The improvement is welcome, particularly after years of concern about Canada’s weak productivity performance. But a stronger quarter is not the same as a structural recovery.

The distinction matters. Productivity growth determines how much an economy can produce from its available resources, influencing real wages, business competitiveness and long-run living standards. Canada needs sustained improvements in productive capacity, not simply occasional increases in output per hour.

The central question is therefore not whether productivity has rebounded. It has. It is whether the increase reflects lasting efficiency gains, stronger use of existing capacity, or a combination of factors that may prove temporary.

The latest numbers are encouraging—but the broader picture remains mixed

Statistics Canada's second-quarter release shows that real business-sector output increased 0.9%, while hours worked declined 0.1%. With output rising and hours edging lower, measured output per hour increased.

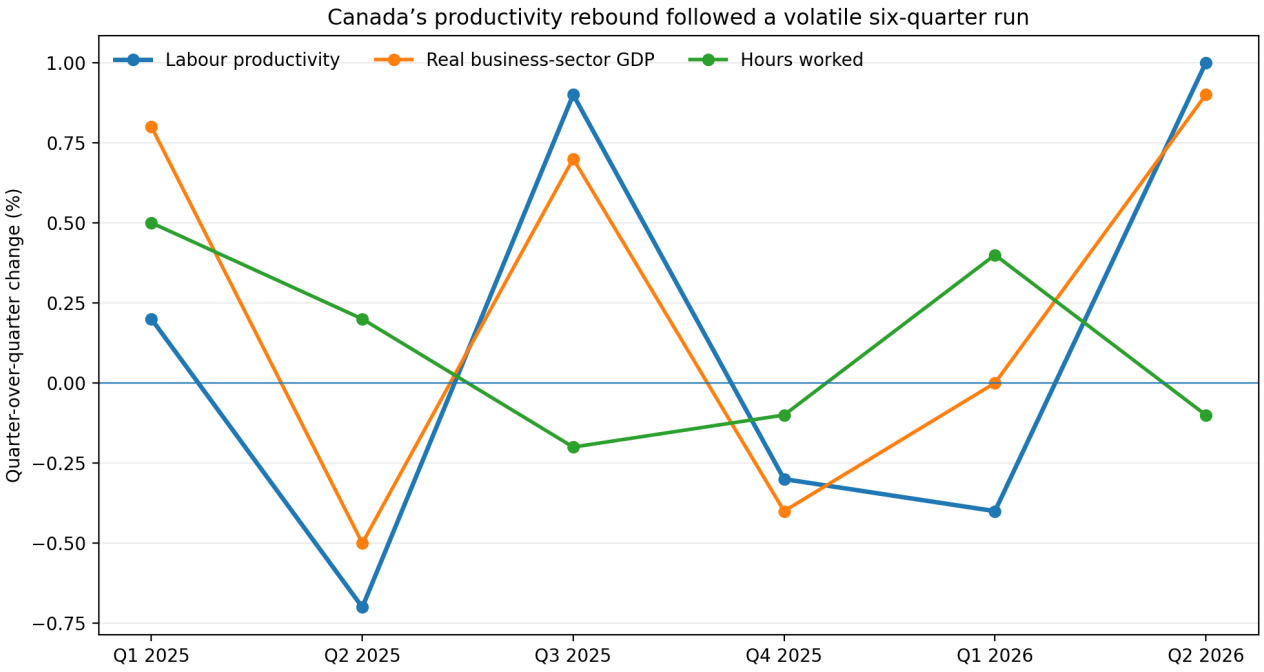
That combination is consistent with improved productivity, but it does not identify the cause. Businesses might have improved operating efficiency, used existing equipment more intensively, or experienced changes in the mix of activity and labour hours. Quarterly national accounts data can also be revised.

The wider economy recorded stronger growth as well. Real GDP increased 0.8% in the second quarter, while real GDP per capita rose 1.0%. Exports increased 3.6%, but inventory changes reduced GDP growth by 1.3 percentage points. Statistics Canada also reported a third consecutive quarterly decline in population.

These figures provide useful context, but they measure different things. GDP per capita is not the same as labour productivity, and a quarterly increase in GDP per person does not establish that the economy's underlying productive capacity has improved.

The productivity data are best read as evidence of a stronger quarter—not yet evidence of a lasting change in trend.

Figure 1. Canada's productivity rebound followed a volatile six-quarter run. The productivity increase in Q2 2026 followed declines in Q2 2025, Q4 2025 and Q1 2026. Output and hours help explain the arithmetic of output per hour, but do not by themselves identify the cause.



Source: Statistics Canada, Table 36-10-0206-01, as reproduced in the September 3, 2026 release. Rates are quarter over quarter, seasonally adjusted.

The industry results point to a broad, but uneven, improvement

The quarterly increase was not limited to a single industry. Statistics Canada reported that productivity increased in 12 of 16 main industry sectors. Manufacturing productivity increased 1.9%, mining and oil and gas extraction rose 1.6%, construction rose 1.6%, and wholesale trade increased 2.0%. Arts, entertainment and recreation recorded a 2.1% increase.

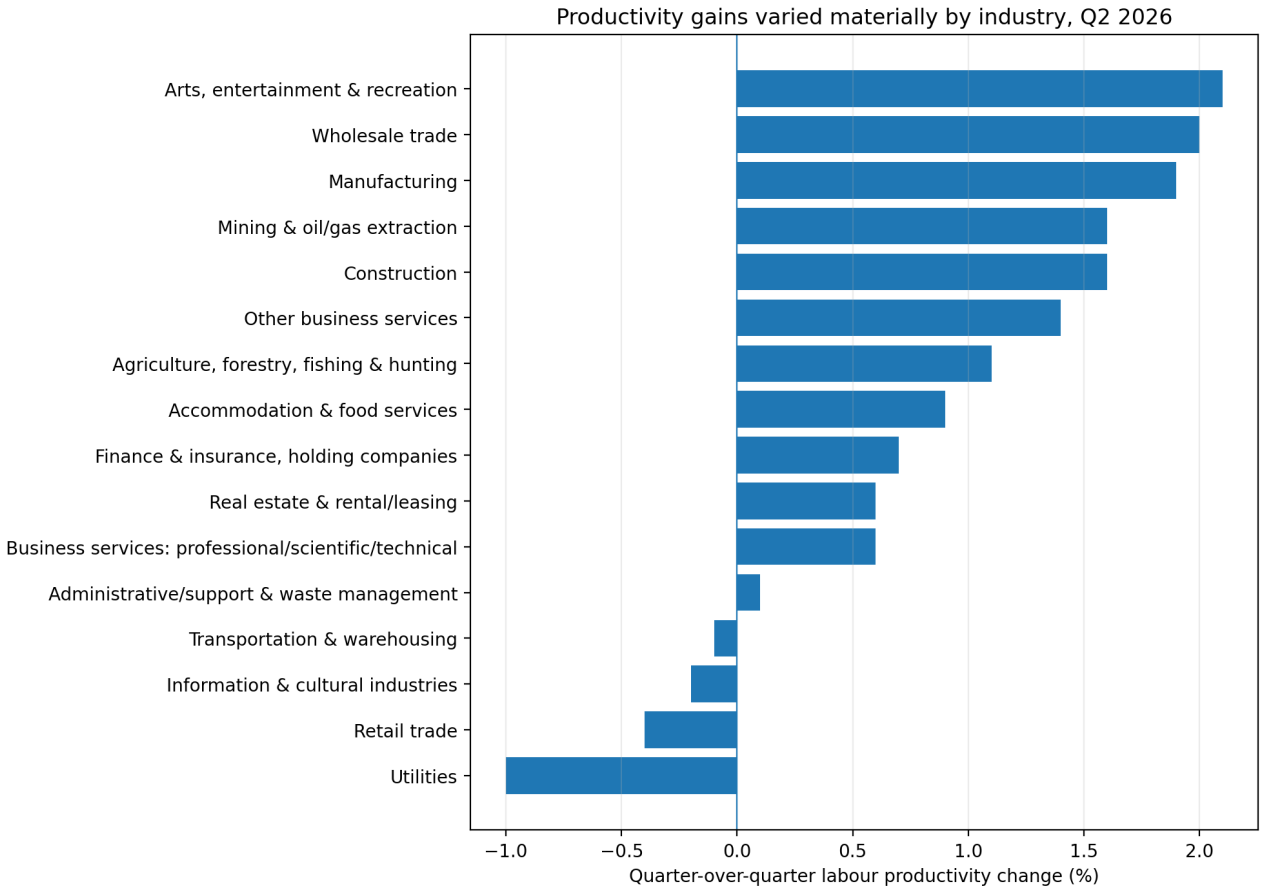
In mining and oil and gas extraction, real output increased 2.1%, while hours worked rose 0.6%. In manufacturing, productivity increased as well, reflecting a stronger output performance relative to hours worked.

These results matter for Canada's investment and competitiveness outlook. They suggest that the productivity improvement extended across several industries important to the production and movement of goods.

However, industry growth rates cannot establish which sectors contributed most to the national increase. That requires a contribution-weighted decomposition, accounting for the size of each industry and its role in aggregate business-sector output and hours. A smaller industry can post rapid growth without materially moving the national result, while a larger industry can have a greater influence.

The distinction is important when assessing whether Canada is experiencing a broad-based productivity recovery or a set of improvements concentrated in particular sectors.

Figure 2. Productivity growth varied materially by industry in Q2 2026. The chart shows published quarter-over-quarter growth rates, not each industry's contribution to aggregate productivity growth.



Source: Statistics Canada, Table 36-10-0207-01, second-quarter 2026 industry table.

Three explanations deserve consideration

Labour productivity is commonly measured as real output per hour worked. It is a useful indicator of economic performance, but it does not isolate the mechanism behind a change.

1. Genuine efficiency gains. Businesses may be producing more through better processes, technology adoption, innovation, improved management or more effective allocation of resources. If these improvements persist, they could support stronger productivity growth over time.

2. Better utilization of existing capacity. Businesses may increase production using equipment, facilities and workforces already in place. As demand improves or operations normalize, output can rise faster than hours worked. Measured productivity increases even if businesses have not yet made substantial additions to their productive capital.

3. Changes in industry composition and measurement. Aggregate productivity can change as economic activity shifts among industries and firms with different productivity levels. Changes in hours worked can also influence quarterly results. National accounts revisions may alter the measured path as new information becomes available.

These explanations are not mutually exclusive. The relevant task is to determine their relative importance rather than assume that the latest increase proves one explanation.

This is also why labour productivity must be distinguished from capital deepening and multifactor productivity. Capital deepening occurs when workers have more or better capital to work with. Multifactor productivity measures output growth not explained by measured growth in labour and capital inputs, although it is affected by measurement limitations and other factors.

Labour productivity can increase through capital investment, efficiency improvements or both. A quarterly increase in output per hour cannot independently establish that underlying efficiency has improved.

Investment is the key test of durability

Canada’s longer-term productivity challenge is well documented. In its 2026 review, Reviving Productivity Growth in Canada, the OECD highlights weak investment and limited multifactor productivity gains among the factors behind Canada’s productivity slowdown. Its analysis emphasizes the importance of capital deepening, innovation, competition, technology adoption and the reallocation of resources toward more productive firms.

The Bank of Canada’s 2026 potential-output assessment adds an important distinction between short-term performance and longer-run capacity. The Bank estimated potential-output growth at 2.3% in 2025 and 1.2% in 2026, with growth expected to recover over 2027–29 as investment strengthens and trend labour productivity gradually improves.

Potential output is an estimate of the economy’s sustainable productive capacity, rather than a direct measure of realized quarterly productivity. Nevertheless, the assessment reinforces the importance of investment and trend productivity to Canada’s longer-term outlook.

More recent business survey evidence offers a mixed signal. In its third-quarter 2026 Business Outlook Survey, published October 19, the Bank of Canada reported that investment intentions had eased slightly but remained robust. Firms cited plans involving digital technologies, automation and equipment intended to improve efficiency. Most businesses reported sufficient current physical capacity and workforce to meet expected demand, while hiring intentions remained soft.

The timing matters. About three-quarters of the survey interviews occurred before Canada–US trade talks broke down and new Canadian counter-tariffs were announced. Responses collected after the breakdown suggested that renewed trade tensions were weighing on business sentiment, exports and investment plans.

The survey therefore points to both an opportunity and a risk. Businesses may be finding ways to operate more efficiently with existing resources, while uncertainty could delay investment needed to expand productive capacity. But survey

intentions are not realized investment, and the survey does not establish what caused the second-quarter productivity increase.

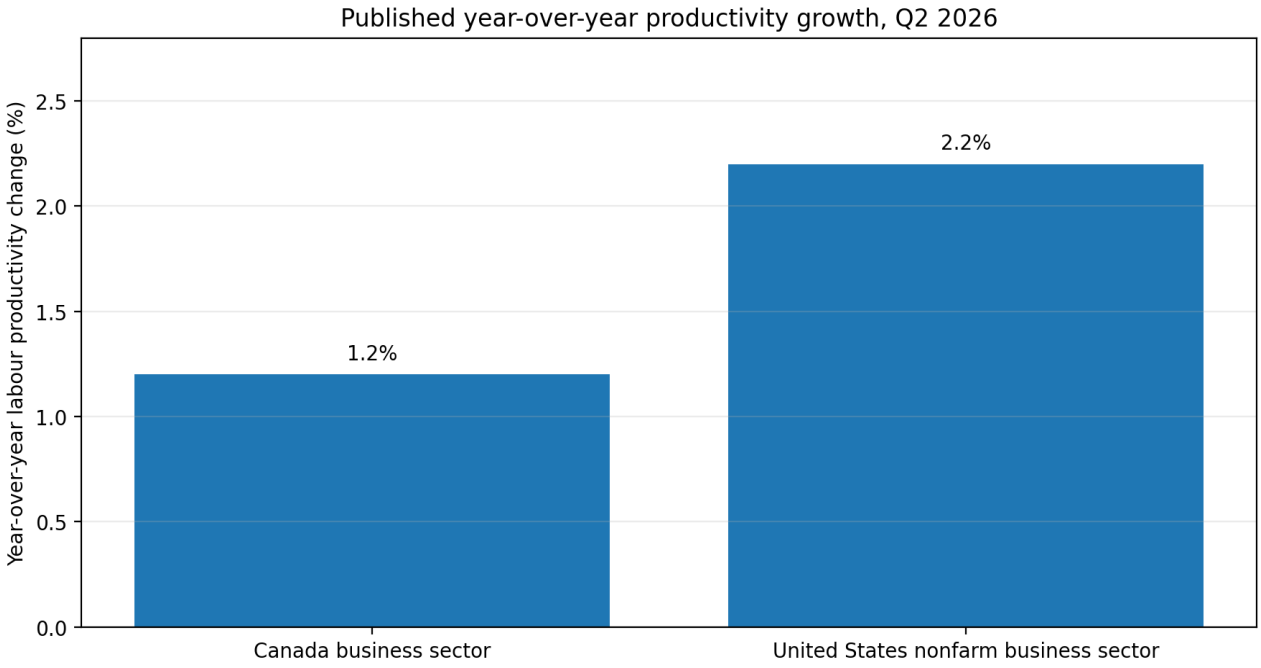
The next test is whether capital spending translates into higher capital input per hour and stronger multifactor productivity over time.

Canada’s performance needs to be judged against its competitors

Productivity is a relative measure of economic performance as well as an absolute one. Canada can record productivity growth and still lose ground if comparable economies improve more quickly.

The US Bureau of Labor Statistics reported that nonfarm business-sector labour productivity increased 2.2% year over year in the second quarter of 2026. Canada’s reported business-sector productivity increase was 1.2% over the same period. On the published figures, the US increase was one percentage point higher.

Figure 3. Published year-over-year productivity growth, Q2 2026. This is a comparison of published growth rates, not productivity levels. The Canadian business-sector measure and US nonfarm business-sector measure are not perfectly identical, so the difference should be treated as indicative rather than a fully harmonized estimate of the productivity gap.



Sources: Statistics Canada, September 3, 2026; US Bureau of Labor Statistics, Productivity and Costs, second quarter 2026, revised September 3, 2026.

The comparison highlights the competitive challenge. Canada’s productivity improvement is encouraging, but stronger productivity growth among trading partners would make it harder for Canadian businesses to close the gap in productive performance.

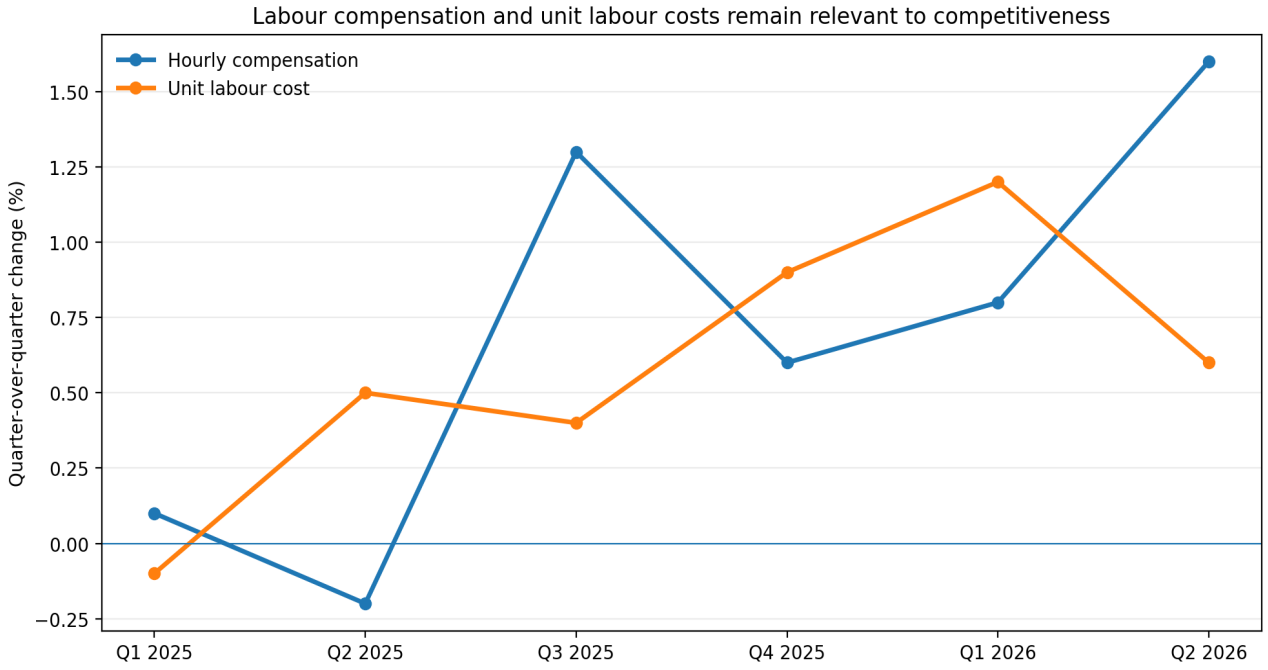
A more definitive assessment requires aligned series, consistent time periods and a longer historical comparison. The key question is whether Canada is improving its relative position over several years, not just whether its latest quarterly number is positive.

Labour costs offer another test

Productivity matters for the cost of producing goods and services. In the second quarter of 2026, Canadian business-sector hourly compensation increased 1.6% quarter over quarter, while unit labour costs rose 0.6%. Over the year, hourly compensation increased 4.4% and unit labour costs rose 3.2%.

Unit labour costs measure labour compensation relative to labour productivity. When productivity rises faster than compensation, businesses can accommodate higher labour costs with less pressure on the cost of producing each unit of output. When compensation outpaces productivity, unit labour costs tend to rise.

Figure 4. Hourly compensation and unit labour costs. The Q2 increase in productivity coincided with a 0.6% quarterly increase in unit labour costs. The rebound therefore did not eliminate labour-cost pressures.



Source: Statistics Canada, Table 36-10-0206-01, as reproduced in the September 3, 2026 release.

Sustained productivity growth would give Canadian businesses more room to increase compensation while preserving competitiveness, although the eventual effect on wages and margins would also depend on prices, profits and bargaining conditions.

What would convince me that the rebound is sustainable?

A durable recovery should be supported by several forms of evidence.

First, productivity growth should persist across multiple quarters rather than reverse quickly. Second, contribution-weighted industry analysis should show whether the improvement is broad-based or concentrated in a few sectors. Third, investment data should establish whether businesses are adding productive capital, while capital input per hour and annual multifactor productivity help distinguish capital deepening from improvements in efficiency. Fourth, a consistent Canada–US comparison should establish whether Canada is narrowing or widening its relative productivity gap.

These tests should be completed using the full historical quarterly series, annual capital and multifactor productivity data, and aligned US data. The published quarterly figures are enough to identify a rebound, but not enough to calculate the rebound's historical percentile or to attribute it quantitatively to efficiency, utilization or industry composition.

Conclusion: a welcome improvement, not yet a turning point

Canada’s second-quarter productivity rebound deserves attention. Output rose relative to hours worked, and several industries recorded gains. The year-over-year increase was positive, while the broader debate about investment, technology adoption and productive capacity remains central to Canada’s economic outlook.

But the evidence does not yet establish that Canada has entered a sustained productivity recovery.

The OECD’s longer-run assessment continues to emphasize weak investment and limited efficiency gains. The Bank of Canada’s potential-output analysis points to subdued near-term capacity growth, while its latest business survey suggests that investment intentions remain supportive but face uncertainty.

The distinction between a stronger quarter and a structural turning point is more than a statistical technicality. It determines whether Canada is simply making better use of the resources it already has or building the productive capacity needed for stronger long-run growth.

The appropriate conclusion is cautious optimism. The rebound is a positive signal. Whether it becomes a turning point will depend on persistence, investment, industry breadth and evidence of stronger productivity relative to Canada’s competitors.

For now, the most important question remains unanswered: is Canada becoming more productive, or is it temporarily getting more out of the capacity it already has?

That is the question the next several quarters—and a closer examination of capital and multifactor productivity—must resolve.

Data and methodology

This commentary uses published Statistics Canada business-sector productivity, industry productivity and GDP releases; the Bank of Canada’s potential-output assessment and third-quarter 2026 Business Outlook Survey; the OECD’s 2026 productivity review; and the US Bureau of Labor Statistics’ second-quarter 2026 productivity release.

Labour productivity is measured as real output per hour worked. Industry growth rates are not equivalent to contributions to aggregate productivity. Potential output is an estimate, business surveys record firms’ reported views, and productivity estimates can be revised.

The Canada–US comparison uses published year-over-year rates but is not a fully harmonized productivity-level or long-run growth-gap analysis. This article does not claim to have calculated a historical percentile ranking from 1981 onward or a contribution-weighted decomposition of the second-quarter result. Those analyses would be required to establish the rebound’s historical significance and the relative roles of industry composition, capital deepening and multifactor productivity.

Primary sources

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